

REBUTTAL TESTIMONY

of

TORSTEN CLAUSEN

Director  
Policy Division  
Bureau of Public Utilities  
Illinois Commerce Commission

COMMONWEALTH EDISON COMPANY

Proposed Revisions to provide updated Terms and Conditions under which a  
Customer May Participate in Net Metering under Section 16-  
107.5 of the Public Utilities Act.

Docket No. 22-0036

June 13, 2022

1 **Witness Identification**

2 **Q. What is your name and prior participation in this Docket?**

3 A. My name is Torsten Clausen. I am currently employed as the Director of the Policy  
4 Division in the Bureau of Public Utilities of the Illinois Commerce Commission  
5 ("ICC" or "Commission"). I previously submitted direct testimony in this Docket  
6 marked as Staff Exhibit 1.0.

7 **Q. What is the purpose of your rebuttal testimony?**

8 A. I have reviewed the direct testimony of the Joint Solar Parties ("JSP") and the  
9 rebuttal testimony of ComEd. Based on this review, I recommend that the  
10 Commission do the following:

- 11 1) Set an implementation deadline and require ComEd to track customer  
12 credits if ComEd misses the deadline;
- 13 2) Affirm that net metering applications of retail electric supplier ("RES")  
14 customers will be processed by RESs until ComEd's systems are updated;
- 15 3) Approve ComEd's tariff provisions regarding "future electrical  
16 requirements";
- 17 4) Reject ComEd's proposed 5 MW system size limit for eligible net  
18 metering customers;
- 19 5) Direct ComEd to modify Rider POGNM to clarify that the retail customer  
20 shall still be entitled to receive delivery service credits if the owner or  
21 operator of the distributed generation facility receives a rebate only for an  
22 energy storage device and not for the distributed generation device; and

6) Direct ComEd to promptly inform the Commission in the event a decision in FERC Docket No. ER22-1520-000 has an impact on Rider POGNM as approved by the Commission.

**Q: What do the JSPs propose regarding the implementation of the ComEd system updates?**

**A:** The testimony of JSP witness Albers on this issue appears somewhat unclear to me. In one part of his testimony, he appears to assume that ComEd does not begin implementing the required billing and related system updates until the Commission issues an order in this proceeding. This is based on his statement that “given that ComEd suggests that it will take the Company six months to complete its system updates from the date of initiation, I recommend that the Commission establish the date certain as six months from the issuance of a final order in this proceeding.” (JSP Ex. 1.0, 13.)

In another part of his testimony, he appears to assume that ComEd does begin to implement the system updates before the Commission issues a final order in this proceeding. This is based on his recommendation “that to the extent that ComEd’s system updates are not complete upon Commission approval of revised Rider POGNM, the Commission direct ComEd to track and accrue any difference between the credits that customers taking service under Rider POGNM receive and credits that those customers will receive once ComEd’s system update is complete.” (JSP Ex. 1.0, 14.) As the JSPs are aware, the time between a final order in this proceeding and the approval of the modified tariff is typically a very short period of time and certainly nowhere near six months.

46 **Q: What is your response to ComEd witness Carlson describing the various**  
47 **required system changes?**

48 **A:** While I certainly appreciate ComEd explaining and describing the numerous  
49 changes required, I also question how many, if any, of the changes described in  
50 Mr. Carlson's testimony will be impacted by the final order in this proceeding.  
51 (ComEd Ex. 3.0, 4-11.) It appears to me that the issues of "future electrical  
52 requirements" and the proposed 5 MW size cap are independent of the changes  
53 to the billing and system upgrades described by Mr. Carlson.

54 **Q: What is your recommendation regarding the implementation timeline?**

55 **A:** Given that the Climate and Equitable Jobs Act ("CEJA") became effective about  
56 nine months ago and the contested issues in this docket do not appear to  
57 significantly impact the work required to implement the billing and related system  
58 updates, I recommend that the Commission direct ComEd to complete its updates  
59 no later than three months from the issuance of a final order in this proceeding. To  
60 the extent ComEd has not completed the necessary changes by such date, I  
61 recommend that the Commission direct ComEd to (1) track and accrue any  
62 difference between the credits that customers taking service under Rider POGNM  
63 receive and the credits that those customers will receive once ComEd's system  
64 update is complete; and (2) issue a one-time bill adjustment to the affected  
65 POGNM customers once the system updates are complete.

66 **Q: The JSPs recommend that "the Commission clarify that until ComEd**  
67 **completes its system updates and implements revised Rider POGNM in its**  
68 **entirety, retail electric suppliers will continue to be responsible for**

processing and approving net metering applications from competitively-supplied customers.” (JSP Ex. 1.0, 14-15.) Do you agree with this recommendation?

**A:** I mostly agree with it. The one caveat I would like to add is that the Commission should not foreclose the possibility that ComEd will be able to process and approve net metering applications from RES customers even while it is still in the final stages of implementing all of the revisions to Rider POGNM. As a result, I recommend that the Commission clarify that until ComEd is able to process and approve net metering applications from RES customers, retail electric suppliers will continue to be responsible for processing and approving net metering applications from their customers.

**Q:** JSP proposes to add a “threshold value” to the eligibility section of ComEd’s Rider POGNM tariff because of changes to the Public Utilities Act (“Act”) through CEJA. Please describe the proposal.

**A:** CEJA modified the definition of “eligible customer” in Section 16-107.5 as follows:

“eligible customer” means a retail customer that owns, hosts, or operates, including any third-party owned systems, a solar, wind, or other eligible renewable electrical generating facility ~~with a rated capacity of not more than 2,000 kilowatts~~ that is located on the customer’s premises or customer’s side of the billing meter and is intended primarily to offset the customer’s own current or future electrical requirements;

220 ILCS 5/16-107.5(b)(ii).

CEJA further defines “future electrical requirements” as follows:

“future electrical requirements” means modeled electrical requirements upon occupation of a new or vacant property, and other reasonable expectations of future electrical use, as well as, for occupied properties, a reasonable approximation of the annual load of 2 electric vehicles and, for non-electric heating customers, a reasonable approximation of the incremental electric load associated with fuel switching.

220 ILCS 5/16-107.5(b)(ix).

JSP witness Albers states that “ComEd should have proposed an approximation of its customers’ ‘future electrical requirements’ for the Commission’s review, modification and approval in this proceeding.” (JSP Ex. 1.0, 16.) He further proposes that ComEd “include, in Rider POGNM, a standard threshold value for a customer’s future electrical requirements, below which the customer’s generating facility would be presumptively considered to be ‘intended to offset the retail customer’s current or future electric power or energy requirements.’” Id. at 17. He also recommends that ComEd give its customers “the opportunity to demonstrate that any projected load above the threshold value in fact represents the customer’s future electrical requirements.” Id.

**Q: What do the JSPs propose as a “threshold value” for a net metering customer’s future electrical requirements?**

**A:** For residential customers, the JSPs propose a “threshold value of 250% of historic average annual total electricity consumption, plus a 7,000 kWh adder for two electric vehicles” for a non-electric heating occupied property. Id. For an electric heating occupied property, the JSPs propose a “threshold value that includes

119 100% of historic average annual total electricity consumption plus the 7,000 kWh  
120 adder for two electric vehicles.” Id.

121

122 **Q: Do you agree that the tariff has to contain a threshold value for the various**  
123 **net metering customer types?**

124 **A:** I do not. I agree with ComEd’s proposal to not “compare a retail customer’s electric  
125 generating facility size to the customer’s historical usage or calculated future usage  
126 amount” and to not “reject an application for net metering on the basis of such a  
127 comparison.” (ComEd Ex. 2.0, 7.) I further agree with ComEd that the proposed  
128 Rider POGNM allows customers “to determine their own current and future electric  
129 power and energy requirements and thus size their electric generating facilities to  
130 meet those requirements.” Id.

131

132 **Q: Please explain your support for ComEd’s proposal on this issue.**

133 **A:** Not only do I agree with ComEd’s reasoning that “allowing customers to determine  
134 their future electric power and energy requirements simplifies the application  
135 process for customers,” (Id.), I also note that there are no economic incentives for  
136 a customer to grossly overbuild a distributed generation (“DG”) facility that results  
137 in large amounts of excess generation. As ComEd notes, the customer will not  
138 benefit from accruing large net metering credits that are in excess of what the  
139 customer gets charged by ComEd for delivery and/or supply service. Any excess  
140 credits accrued during the course of a year will expire at the end of the customer’s  
141 annual net metering period. Id. at 10. In other words, ComEd has no responsibility

to pay a customer for net metering credits that have not been “netted” at the end of customer’s annual period.

**Q: ComEd proposes to limit net metering to customers with generation systems of a 5 MW nameplate capacity or less. Do you agree with this limitation?**

**A:** I do not. While I am not an attorney and thus not providing a legal opinion on this issue, it is my understanding that CEJA removed the previous system size limit and did not replace it with an alternate system size limit. As described above, CEJA modified the definition of “eligible customer” in Section 16-107.5 as follows:

“eligible customer” means a retail customer that owns, hosts, or operates, including any third-party owned systems, a solar, wind, or other eligible renewable electrical generating facility ~~with a rated capacity of not more than 2,000 kilowatts~~ that is located on the customer's premises or customer's side of the billing meter and is intended primarily to offset the customer's own current or future electrical requirements . . . .

Public Act 102-0662 (eff. Sept. 15, 2021).

**Q. Please describe the issues surrounding full retail net metering for customers who receive a storage-only DG rebate pursuant to Section 16-107.6 of the Act.**

**A.** JSP witness Albers states that “customers who receive a rebate for their energy storage systems, but not for the distributed generation system associated with that energy storage system, do not lose access to delivery netting, and continue to remain eligible for full retail net metering.” (JSP Ex. 1.0, 26.) Mr. Albers also states that the General Assembly recently passed Senate Bill 3866 which “clarifies that customers receiving a rebate for their energy storage systems but not for their



distributed generation systems remain eligible for full retail net metering and do not lose delivery service credits for their generation.” Id. at 29.

In rebuttal testimony, ComEd witness Lindstrom states that “should Senate Bill 3866 become law, ComEd will comply with the law and determine if changes are required to any of its tariffs, including Rider POGNM.” (ComEd Ex. 2.0, 12.)

**Q. What is your recommendation regarding this issue?**

**A.** Governor Pritzker signed Senate Bill 3866 into law on May 27, 2022, resulting in Public Act 102-1031. Given the following change in law by Public Act 102-1031, I recommend that ComEd be directed to clarify its Rider POGNM tariff to reflect this change:

Upon approval of a rebate application submitted under this subsection (c), the retail customer shall no longer be entitled to receive any delivery service credits for the excess electricity generated by its facility and shall be subject to the provisions of subsection (n) of Section 16-107.5 of this Act unless the owner or operator receives a rebate only for an energy storage device and not for the distributed generation device.

Public Act 102-1031 (eff. May 27, 2022, modifying 220 ILCS 5/16-107.6(c)(3)).

**Q: Please describe the status of FERC Docket No. ER22-1520-000.**

**A:** On March 31, 2022, ComEd filed its request to allow for negative Peak Load Contribution values for Network Service and Capacity with FERC in Docket No. ER22-1520-000. On April 21, 2022, the Illinois Industrial Energy Consumers (“IIEC”) filed a protest with FERC, arguing that FERC “should reject the March 31 Filing because ComEd has failed to show that the proposed Tariff revisions are just, reasonable, and non-discriminatory.” On May 10, 2022, IIEC submitted a

196 Notice of Withdrawal from FERC Docket No. ER22-1520-000. On May 26, 2022,  
197 FERC issued a letter informing ComEd that the March 31, 2022 filing is deficient,  
198 and requesting additional information within 30 days.

199 **Q. What is your recommendation to the Commission regarding the pending**  
200 **Docket at FERC?**

201 A. Although I am not an attorney and I am not providing a legal argument, it is my  
202 opinion that ComEd's filing at FERC is necessitated by CEJA. I recommend that  
203 the Commission evaluate the Rider POGNM changes at issue in this Docket while  
204 the FERC Docket is pending. If future action in FERC Docket No. ER22-1520-000  
205 impacts Rider POGNM, ComEd and/or Staff will inform the Commission and  
206 recommend a course of action.

207 **Q. Does this question end your prepared direct testimony?**

208 A. Yes.